



English, Economics, Politics, and Philosophy

Unit 1 Evolution of Economics Lesson 1.5: Entrepreneur, Innovation, & Schumpeter Part II

Introduction

Last tutorial session, we had learned four concepts—**entrepreneur**, **entrepreneur's thought**, **entrepreneurship**, **brand new**, **innovation**, and **improvement**. But the doctrine of **creative boss** economics actually had paid little emphasis to these concepts, not until Austrian Economists, **Joseph Schumpeter**, published his revolutionary theories contained in ***Socialism, Capitalism, and Democracy***. Schumpeter proposed, in this work, that the **unpredictability** of economics is natural, in that **each destruction of the established means of production implies the creation of a new innovation**.¹

mutation:突變 incessantly = continuingly

¹ “The process of industrial **mutation** that **incessantly revolutionizes** the economic structure from within, incessantly destroying the old one, incessantly creating a new one.”
“This process of **Creative Destruction** is the essential fact about capitalism. It is what capitalism consists in and what every capitalist concern has got to live in. This fact bears upon our problem in two ways.”

revolutionize = ‘rebel’ destroy/new

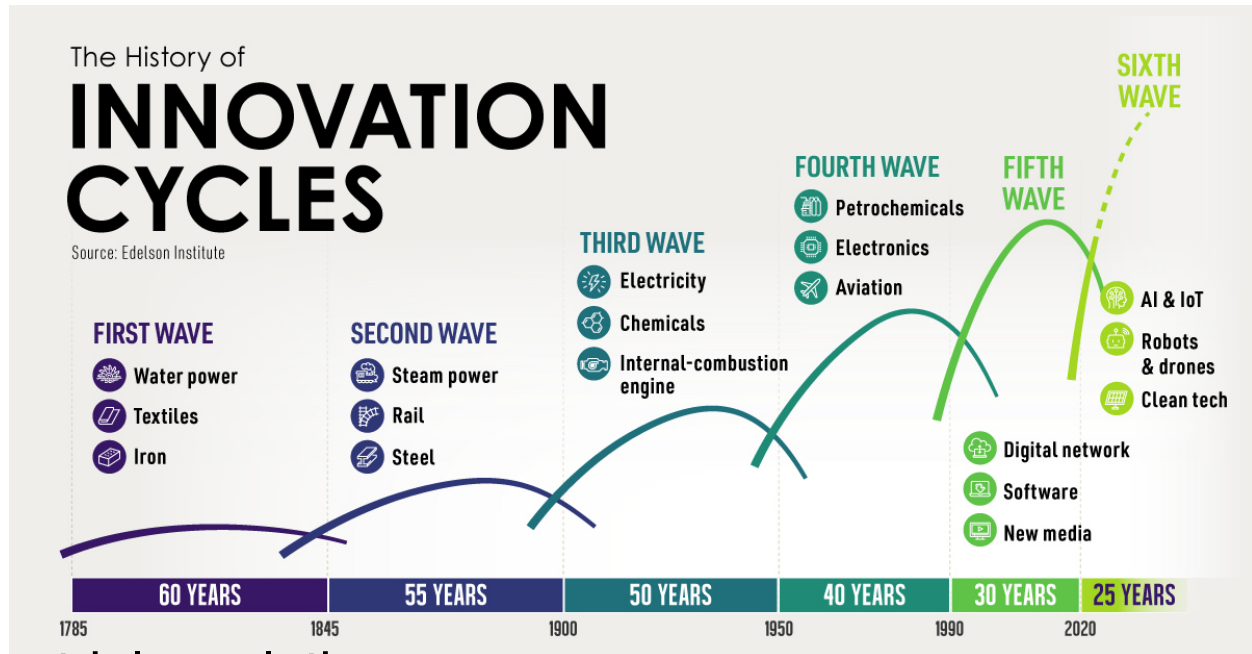
ACTION

I. The Sexy Economist, Joseph Schumpeter

Joseph Schumpeter (1883-1950), was an Austrian political economist. He served briefly as **Finance Minister of Austria** in 1919. In 1932, he emigrated to the United States to become a professor at **Harvard University**, where he remained until the end of his career, and in 1939 obtained American citizenship. Schumpeter was one of the most influential economists of the early 20th century, and popularized the term “**creative destruction**”, coined by Werner Sombart. His “sexy economist” title was given because of his claim that his life goals were “to be the greatest economist in the world, to be the best horseman in all of Austria, and the greatest lover in all of Vienna;” two of which, according to him, had been achieved, without any **clarification**. His life was quite legendary, in one occasion, he challenged the other person to a **duel** for his student.

II. Creative Destruction/ **Innovative** Cycle

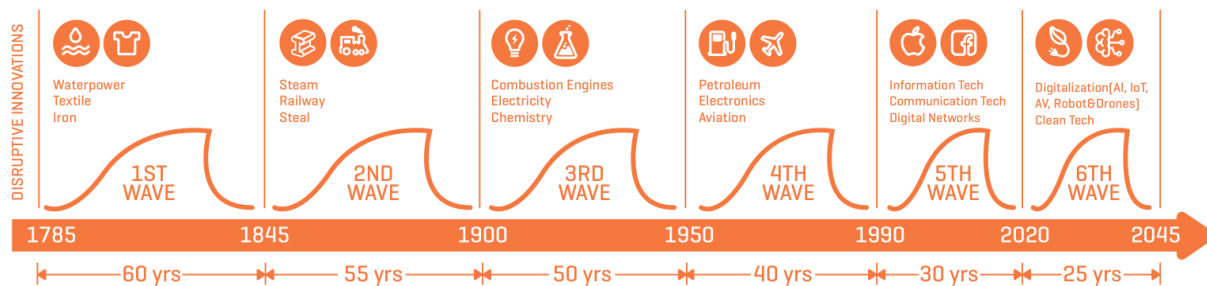
1. Let's interpret the following illustration, the innovative cycle



industrial revolution

What do we notice from this illustration?

1. its getting 'higher and higher'
2. the gap between each wave shortens across the time
3. the order of waves



Indeed, if we recall Marxian theory that revolution of the society will progress us to a societal classless harmony, Schumpeter's theory can be found seemingly comparative. In Schumpeter's work, *Socialism, Capitalism, and Democracy*, he initiated his thesis by sarcastically glorifying Marxian social theory. He also attacked the labour theory of value from Ricardo, Marx and Smith by reasoning that 1) values depend on productivity; 2) productivity depends on the improvement of production techniques; 3) the improvement of production technique is a result of innovation/invention (industrial mutation) introduced by entrepreneur; 4) values are thus decided by the occurrence of industrial mutation. But must we notice the unpredictability of such mutations. Schumpeter, was however, a pessimistic (like Malthus). But far from Malthus, Schumpeter was pessimistic politically rather than economically. Schumpeter believed that capitalism works so effective

that it will eventually destroy itself—its unpredictability, its uncertainty, and its fairness are too inhuman (i.e., counter-instinct). Also, he thought that the future generations will soon forsake the preciousness of capitalism—both the allocative efficiency and the dynamic efficiency, when these ‘spoiled’ kids know not the fairness of such system thereby proceeding to destroy the established orders.

1. Now, any reflections on today’s tutorial? Who is your favourite economist thus far?